

Basically, it was worth much less than the sum of all the money she had ever invested in the plan. The reason she had allocated so much to this one stock is because the company offered a matching deal. Every \$100 of salary she deferred and contributed to the 401(k) plan would be matched by the company with \$50 of company stock. Effectively, she was getting a 50% investment return on her money, from day one—and it was tax deferred. At first glance, this is a great deal, and many companies offer the same plan. Unfortunately, though, her company's stock price had fallen by more than 60% in the last 18 months, which basically wiped out the gains. In fact, the day she and more than 1,000 other employees were let go, the stock price fell a further 15%, likely because the company announced a major restructuring at the same time.

I obviously felt bad for her, although she seemed to be dealing with her financial misfortune with great poise. She was actually looking forward to starting a new job and perhaps new life working in the financial services industry in Boston. She said it reminded her of graduating from college almost 15 years ago with no savings, no relevant work experience, and a bunch of credit card debt. What a great, positive attitude.

As the flight continued and the conversation evolved, it turns out that she was recently separated from her husband, who coincidentally had also been laid off from the same employer on the exact same day. Kim had originally met him at a company picnic a number of years ago, and they had much in common, including a shared employer and career prospects. But, the stress of the dual job loss and the ensuing financial strain had taken a toll on their marriage, and the two of them were in the process of selling their house, which was located a short commute from their old employer, while working out the divorce proceedings.

As if the stress of a job loss wasn't enough, unfortunately, the real estate market wasn't being kind to them either. The house was apparently now worth 20% less than what they had paid a few years ago, and they were having a very tough time getting any offers on the house. I suspected that this difficulty is likely because a number of other residents in the neighborhood, who had also been laid off recently, were also trying to sell their homes at the same time.